Strategic Trading Analysis
Step 1: Audit the Data

* **Data Present:** 3-year daily price chart, Long-term and short-term fundamental analysis (Revenue, EPS, Net Income), Relative Strength analysis vs. benchmark (^CNXPHARMA), EMA crossover analysis (20, 50, 200), Bollinger Bands, Supertrend (Multi-timeframe), MACD, Volatility Squeeze analysis, RSI with volume divergences, Volume analysis (accumulation/distribution days), Candlestick classification, Multi-timeframe charts (Weekly, Daily, 15-Min), and fundamental valuation snapshots (PE, Analyst Targets).
* **Data Missing:** Intraday order book depth (Level 2 data), options/derivatives open interest positioning, and detailed sector-wide macro analysis.
* **Confidence Level:** High. The provided report is highly comprehensive, covering technical, fundamental, momentum, and relative strength metrics across multiple timeframes. This provides a robust foundation for an intermediate-term positional trade assessment.

Step 2: Analyze the Setup

From a positional equity trading perspective with a 1-4 month horizon, the current setup for DRREDDY.NS reveals several red flags:
* **Price Structure & Trend:** The stock is currently trading at INR 1235.70, which is in a localized downtrend. Critically, price has fallen below the 20-day (1240.50), 50-day (1253.57), and 200-day (1252.01) Exponential Moving Averages. The Daily Supertrend is explicitly signaling a "DOWNTREND (Sell)."
* **Momentum:** The MACD on the daily timeframe is firmly <font color='#c0392b'>Bearish</font> (-15.10), with the MACD line operating below the zero line. RSI sits in a neutral-to-weak territory at 47.41.
* **Volume & Institutional Activity:** The volume analysis detects significant selling pressure, logging four distinct "Distribution Days" between mid-March and mid-April 2026. This indicates institutional offloading rather than accumulation.
* **Relative Strength:** The stock has been classified as a "Weakening Leader" against the CNXPHARMA index, with an RS score slipping below 50 (49.5).
* **Fundamentals:** While long-term CAGRs are strong, short-term momentum is stalling out, with Net Income dropping -15.82% Quarter-over-Quarter.

Step 3: Formulate the Recommendation

Based on the objective technical and momentum breakdown, my recommendation to enter this stock right now is <font color='#c0392b'>NO</font>.

Why invalid: A risk-averse positional trader should not fight a clear short-term downtrend characterized by distribution days, weakening relative strength, and price action below the 200-day EMA. The stock lacks the required bullish momentum and structural support to justify a high-probability 5%-15% upside move in the near term. A "falling knife" scenario poses unacceptable downside risk here.

Conditional Plan:
I will monitor this stock for a setup once it proves it has found a floor and can absorb the recent supply.

* **Condition to Buy:** A confirmed daily close above the 50-day and 200-day EMA resistance cluster on above-average volume, ideally accompanied by a bullish MACD crossover and a shift to an "<font color='#27ae60'>Uptrend</font>" on the Daily Supertrend.
* **Entry Price:** ~INR 1255.00 - INR 1260.00 (pending the confirmed breakout above the moving averages).
* **<font color='#c0392b'>Stop Loss</font>:** ~INR 1180.00 (A hard stop placed below the recent swing low and lower Bollinger Band structure to protect capital).
* **<font color='#27ae60'>Take Profit</font>:** ~INR 1380.00 (Targeting the upper supply zone and previous major swing high, aligning with a ~10% upside objective and a favorable risk-to-reward ratio).

Candlestick Classification Analysis

Based on the provided report (specifically Pages 20 and 21) and the custom Candlestick Classification algorithm you outlined, here is a professional trader's interpretation of the price action and a forecast for DRREDDY.NS.

1. Current State of the Tape (Data Analysis)

Looking at the **Candlestick Classification Summary (Page 20)**, we have clear quantitative evidence of the current market psychology:

* **Latest Classification:** Buyer Control (+1)
* **Recent Trend Score (10-day avg):** 0.60
* **Historical Distribution:** Dominated by "No Control" (111 days), but "Buyer Control" (62) is notably outpacing "Seller Control" (52). Interestingly, there are very few "Seller Strong Control" (3) and zero "Buyer Strong Control" days in this lookback period, indicating a grindy, moderate-volatility environment rather than one of explosive breakouts/breakdowns.

2. Visual Chart Breakdown (Page 21)

Looking at the far right of the chart (latest price action), a distinct narrative unfolds:

* **The Sell-Off & Exhaustion:** Prior to the recent action, we can see a sharp downward wave marked by a cluster of light and dark red candles (Seller Control). The volume spiked significantly during this drop, suggesting a potential selling climax.
* **The Basing Phase:** Following the drop to the ~1175-1190 level, the candles transitioned into mostly grey ("No Control"). According to your system (Step 3: long wicks, small bodies), this represents a cessation of downward momentum and a period of deep indecision where neither buyers nor sellers could dictate the close.
* **The Reversal:** Most recently, the stock has carved out a sequence of light green candles ("Buyer Control").

3. Algorithm Interpretation

Why is the recent action flagged as **"Buyer Control" (+1)** and not "Strong Buyer Control" (+2)?

Applying your 5-step logic:

* **Steps 1 & 2 (Body & Close):** Buyers are successfully creating moderate bullish bodies and managing to close near the upper portion of the daily range. They are holding overnight inventory with confidence.
* **Steps 3 & 4 (Wicks & Volume):** The lack of dark green (+2) candles indicates that while buyers are in control, the volume multiplier (Step 4) is likely average or only slightly elevated, and bodies aren't exceeding the >1.5 ATR threshold. This paints a picture of steady, persistent accumulation rather than a massive institutional frenzy.

4. Price Prediction & Outlook

Prediction: <font color='#27ae60'>Bullish</font> / Upward Continuation

The "Why":

The transition from Seller Control ? No Control (Basing) ? Buyer Control is a classic textbook reversal pattern. The 10-day moving average score of **0.60** is highly significant. It means that over the last two weeks, the net daily close and intraday momentum have consistently favored the bulls. Sellers have stepped back, and buyers are absorbing supply without having to expend massive volume (which is actually a sign of an efficient upward float).

What to expect next:

1. **Short-term Path of Least Resistance:** UP. Expect the price to continue its steady ascent from the current ~1235 levels to test previous overhead supply zones (likely around the 1260-1280 structural resistance visible on the chart).
2. **What to watch out for:** Because the current move is driven by steady "Buyer Control" rather than explosive "Strong Buyer Control", the trend may be susceptible to intraday pullbacks. As a trader, you want to see future light green candles maintain their volume profile. If you suddenly see a dark red ("Seller Strong Control") candle on high volume (Step 4 multiplier kicking in for the downside), the recovery thesis would be invalidated.

Trade Stance: Accumulate/Hold. The bulls currently own the tape.

News & Analyst Targets

As a stock research analyst, I have reviewed the latest market data, corporate filings, and analyst notes for Dr. Reddy's Laboratories (NSE: DRREDDY / NYSE: RDY) as of mid-April 2026.

Here is the latest intelligence on the stock categorized by your queries:

1) Latest News for DRREDDY This Week

* **Dividend Consideration:** On April 16, 2026, Dr. Reddy's Laboratories submitted a Form 6-K filing to the SEC disclosing that its Board of Directors is convening to consider recommending a final dividend for the financial year 2025-2026.
* **Recent Business Performance:** Dr. Reddy's reported strong revenues of INR 8,021 Cr (+11% YoY) for Q3 FY26. While their generic Revlimid business is seeing an expected decline in contributions, the US non-Revlimid business successfully expanded by 18% YoY.
* **Boost from NRT Portfolio:** The company recently consolidated its acquired consumer healthcare unit focused on Nicotine Replacement Therapy (NRT), which drove a large portion of the company's recent topline growth.
* **Stock Consolidation:** The stock has been trading with low volatility (beta of ~0.72) in the INR 1,160 - INR 1,235 range this week, after experiencing a 22% correction from its 52-week high of INR 1,420.

2) Upgrades and Downgrades from Brokerages

The analyst community is currently showing mixed sentiment, largely pivoting on the company's US execution and overhead costs:

* **Nomura (Downgrade):** Nomura recently downgraded Dr. Reddy's from **'Buy' to 'Neutral'**. The rationale cited includes increased overhead expenditures and concerns over the shrinking contribution from its generic cancer drug, Revlimid, going into FY26.
* **ICICI Direct & BOB Capital Markets (Upgrades / Buy Maintained):** Both brokerages have maintained **'Buy'** ratings. BOB Capital noted that outside of North America, the company's guidance and performance are actually beating expectations. ICICI Direct highlighted the company's branded generics traction in India and Emerging Markets.
* **Motilal Oswal (Neutral Maintained):** Maintained a **'Neutral'** rating, noting that while the company has growth levers in place (like Semaglutide and Abatacept pipelines), near-term earnings drag from US pricing erosion limits immediate upside.

3) Other News Directly or Indirectly Impacting DRREDDY

* **US Tariffs on Indian Goods (Indirect):** In April 2026, news of potential US tariff announcements on Indian goods sparked a sector-wide selloff in Indian pharma. Consequently, Dr. Reddy's and its peers experienced temporary declines of 3-6%. Though pharma imports are often granted exemptions due to US healthcare reliance on generics, the macroeconomic uncertainty has compressed PE multiples for Indian pharma stocks.
* **The "Revlimid Cliff" & Pipeline Pressures (Direct):** Dr. Reddy's gross margins have faced pressure largely due to lower-than-expected sales of generic Revlimid, a key cash cow that is facing intense competition. The market is carefully watching the company's ability to offset this with 2026 ANDA approvals for complex generics and its biosimilar platform (Rituximab, Bevacizumab, Filgrastim), which is currently at an inflection point.
* **Institutional Selling (Direct):** Recent data from the December 2025/early 2026 quarter shows a slight reduction in Foreign Institutional Investor (FII/FPI) numbers (dropping from 872 to 855). Because FII holding stands relatively high at ~20.4%, the stock remains highly sensitive to global risk-off events.

4) Latest Targets from Analyst Community and Brokerages

Despite short-term headwinds, consensus targets still reflect an upside potential from current trading levels (~INR 1,160-INR 1,235). Below is a summary table of the latest price targets issued by the analyst community for FY26/FY27:

Brokerage / Research Firm	Rating / Stance	Target Price (INR)	Implied Upside*
BOB Capital Markets	Buy	INR 1,500	~21.4%
Nomura	Neutral *(Downgraded)*	INR 1,500	~21.4%
ICICI Direct	Buy	INR 1,490	~20.6%
Motilal Oswal	Neutral	INR 1,250	~1.1%

Consensus Average (Alpha Spread)	Buy	INR 1,360	~10.1%
Consensus Average (Trendlyne - 9 Brokers)	Hold	INR 1,314	~6.3%
Highest Market Estimate	Strong Buy	INR 1,695	~37.2%
Lowest Market Estimate	Sell	INR 1,024	-17.1%

(Note: Implied upside percentages are approximate and relative to trading levels in the INR 1,235 range as of April 2026)

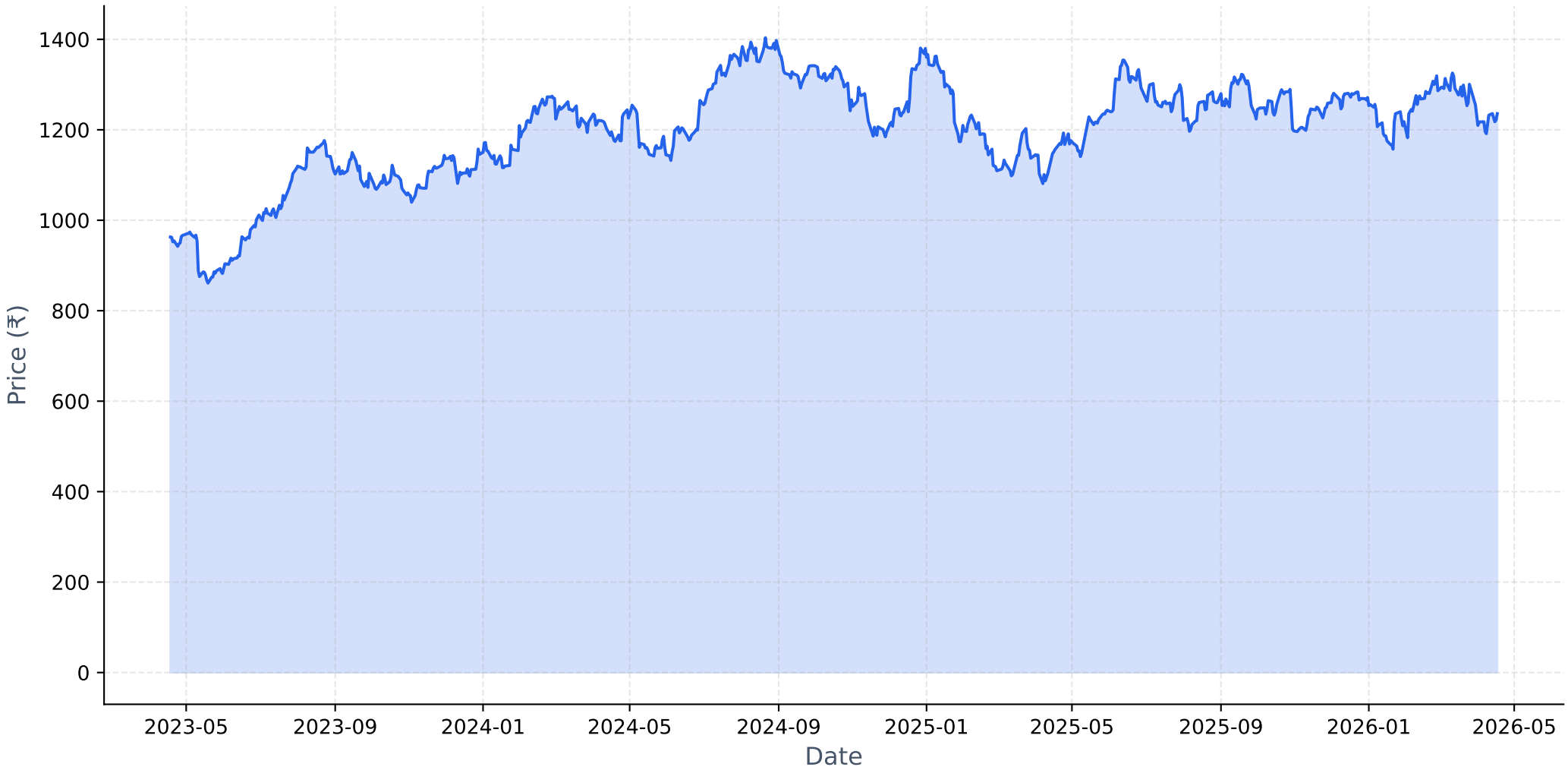
Stock Detailed Analysis Report

DRREDDY.NS

Current Price: ₹1235.70

Generated: 2026-04-18 10:51

DRREDDY.NS - 3 Year Daily Price Chart



Long-term Fundamental Analysis (4 Years)

Metric	Is Growing?	Accelerating?	1Y Growth	3Y CAGR
Revenue	Yes	Yes	16.61%	14.94%
Net Income	Yes	No	1.54%	33.87%
ROE	No	No	-15.39%	-7.19%
EPS	Yes	No	1.26%	33.68%

Short-term Fundamental Analysis (6 Quarters)

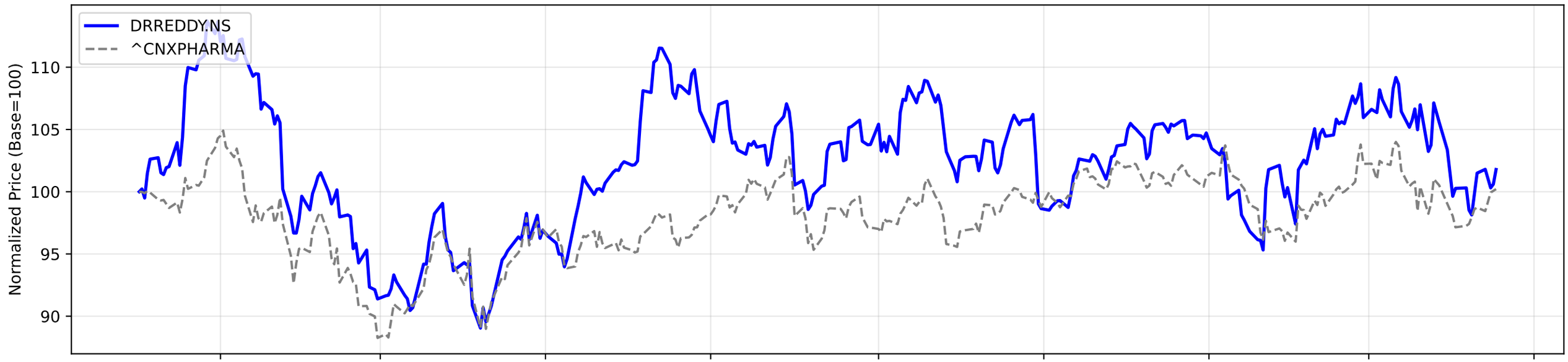
Metric	Is Growing?	Recent QoQ	Avg QoQ
Revenue	Yes	-0.89%	1.09%
Net Income	No	-15.82%	-3.18%
ROE	No	-18.96%	-6.95%
EPS	Yes	-10.88%	4.80%

DRREDDY.NS - Relative Strength Analysis

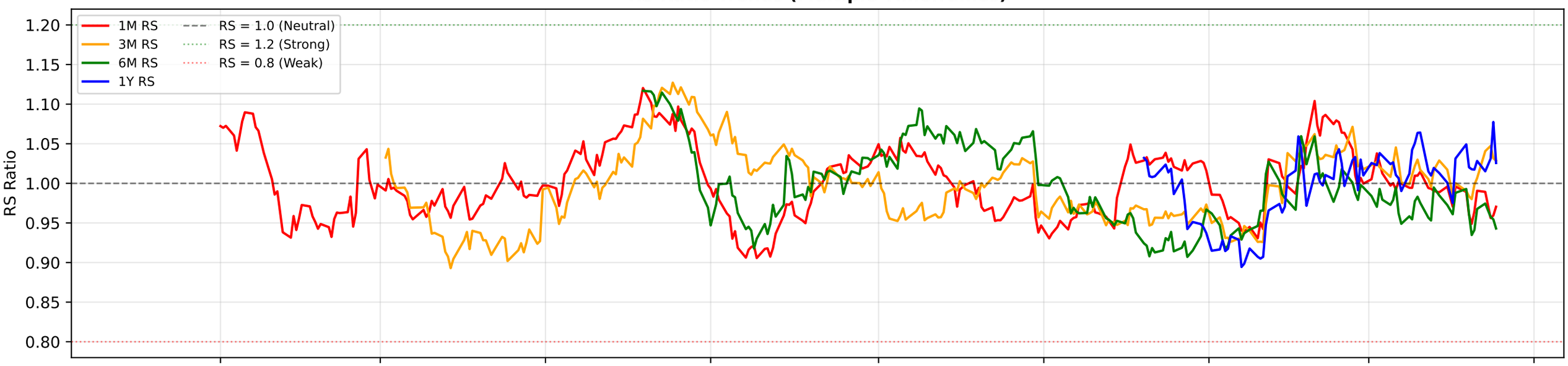
═══ OVERVIEW ═══:	
Benchmark Index:	^CNXPHARMA
Sector:	Pharma
Classification:	**Weakening Leader**
RS Score:	49.5/100
:	
═══ RS RATIOS ═══:	
1M RS:	**0.970 [Neutral]**
3M RS:	**1.029 [Leader]**
6M RS:	**0.943 [Neutral]**
1Y RS:	**1.026 [Leader]**
:	
═══ TURNAROUND ANALYSIS ═══:	
Turnaround Status:	**Not Detected**
:	
SIGNAL CRITERIA::	
✗ **Emerging RS:**	**Not accelerating**
✓ **Medium-term Lagging:**	6M=0.943 (≤1.0)
✓ **Performance Improving:**	3M (+1.7%) > 6M (-0.8%)

Relative Strength Analysis: DRREDDY.NS vs ^CNXPHARMA
Classification: Weakening Leader

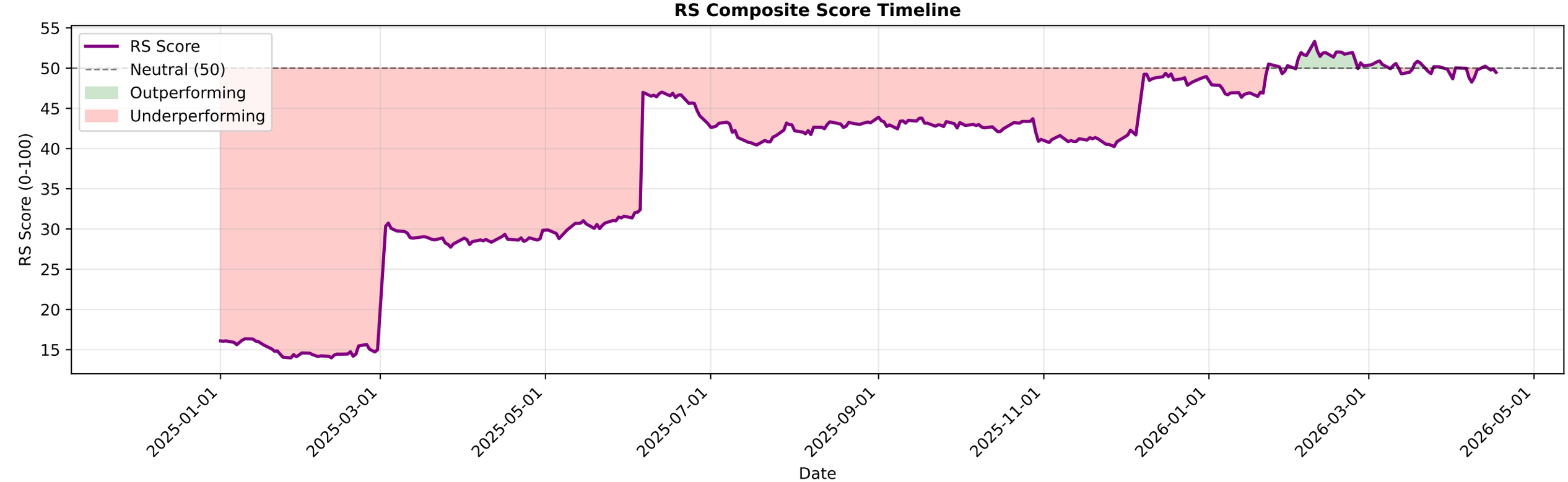
Price Performance Comparison (Normalized)



RS Ratio Trends (Multiple Timeframes)

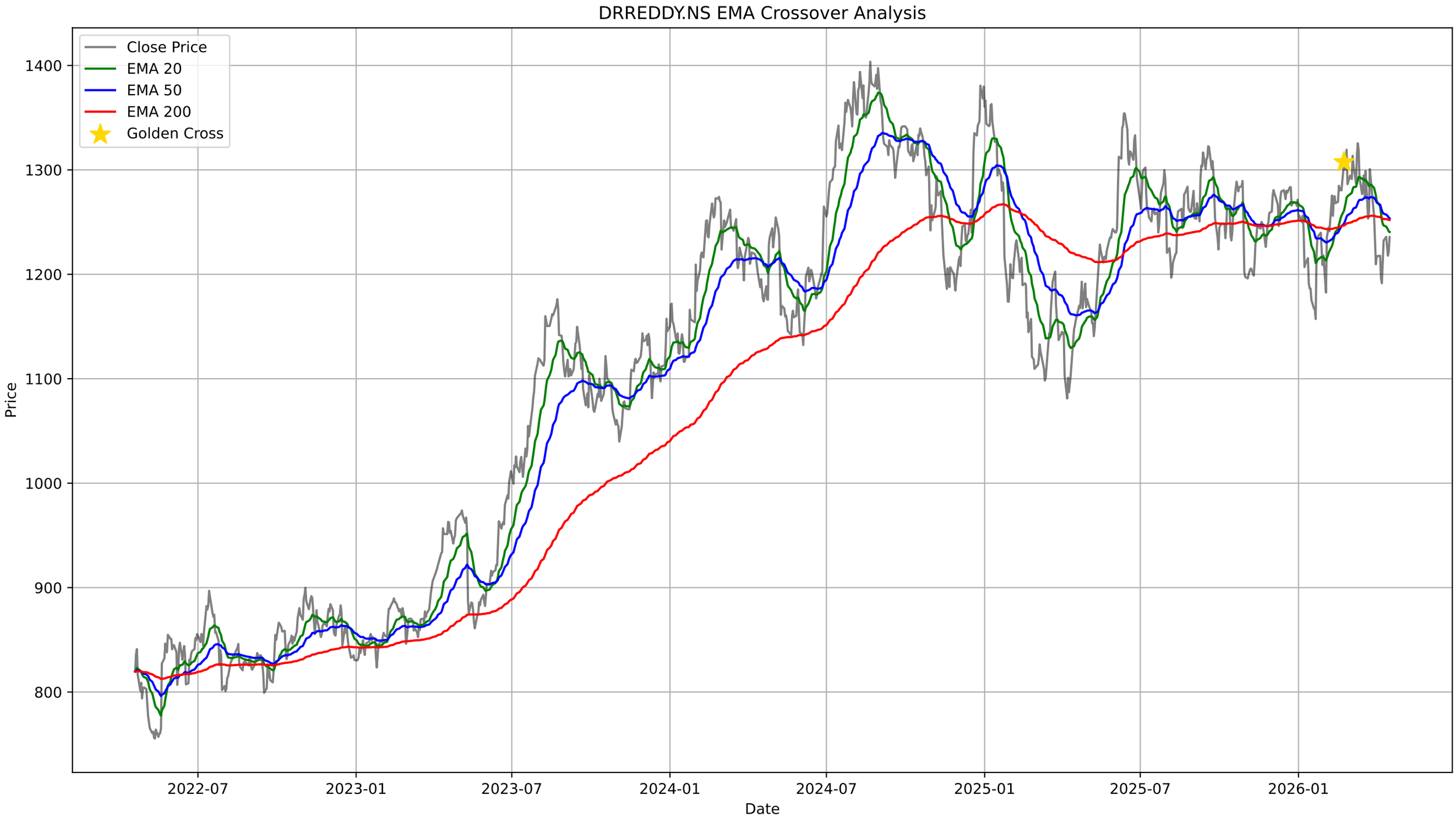


RS Composite Score Timeline



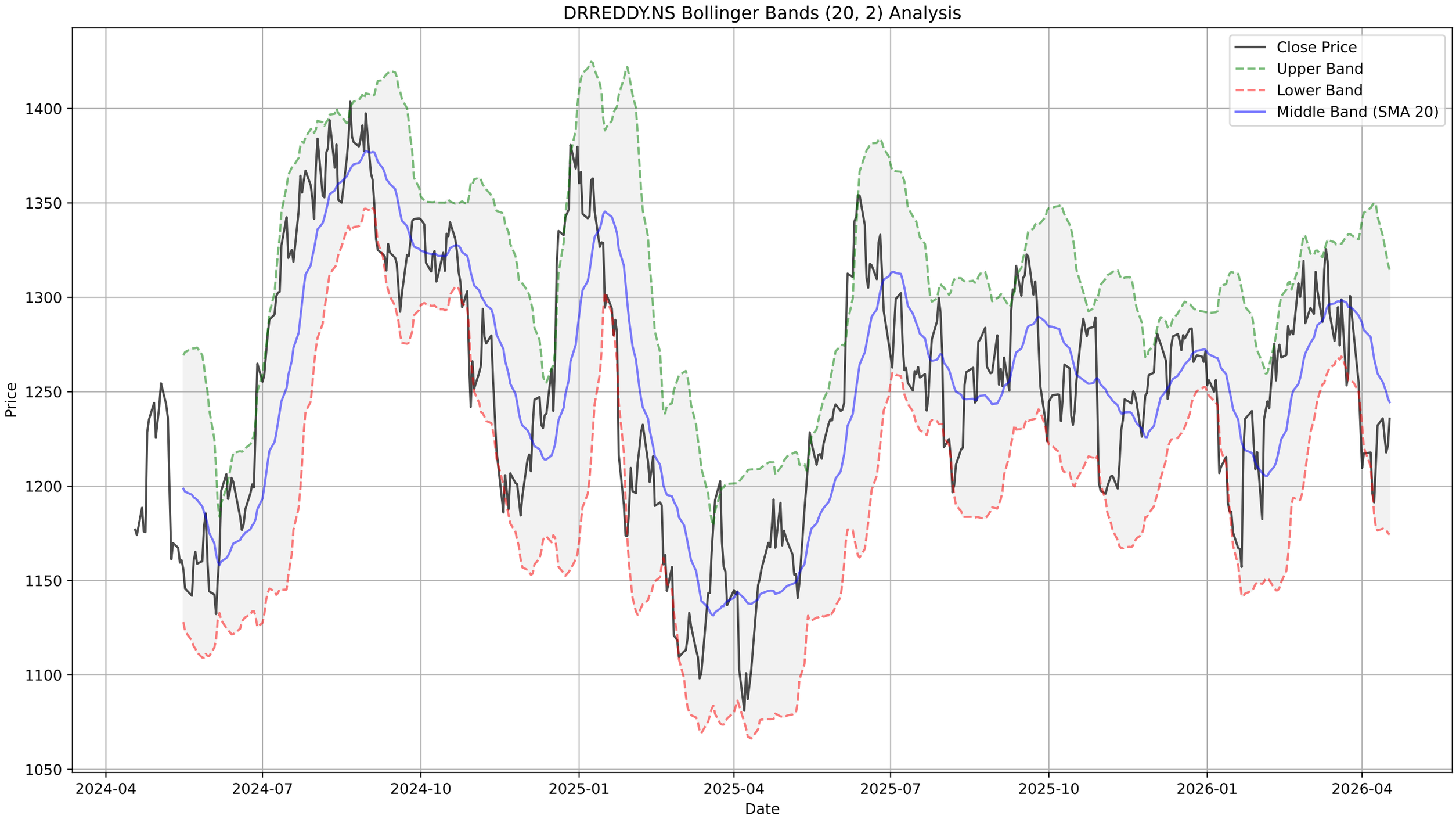
DRREDDY.NS - EMA Crossover Summary

EMA 20:	1240.50
EMA 50:	1253.57
EMA 200:	1252.01
Trend Status:	**Short-term Downtrend**
Golden Cross Date:	2026-02-23 00:00:00+05:30
Golden Cross Price:	1307.40


DRREDDY.NS EMA Crossover Analysis
Close Price
EMA 20
EMA 50
EMA 200
Golden Cross
Price
1400
1300
1200
1100
1000
900
800
Date
2022-07
2023-01
2023-07
2024-01
2024-07
2025-01
2025-07
2026-01

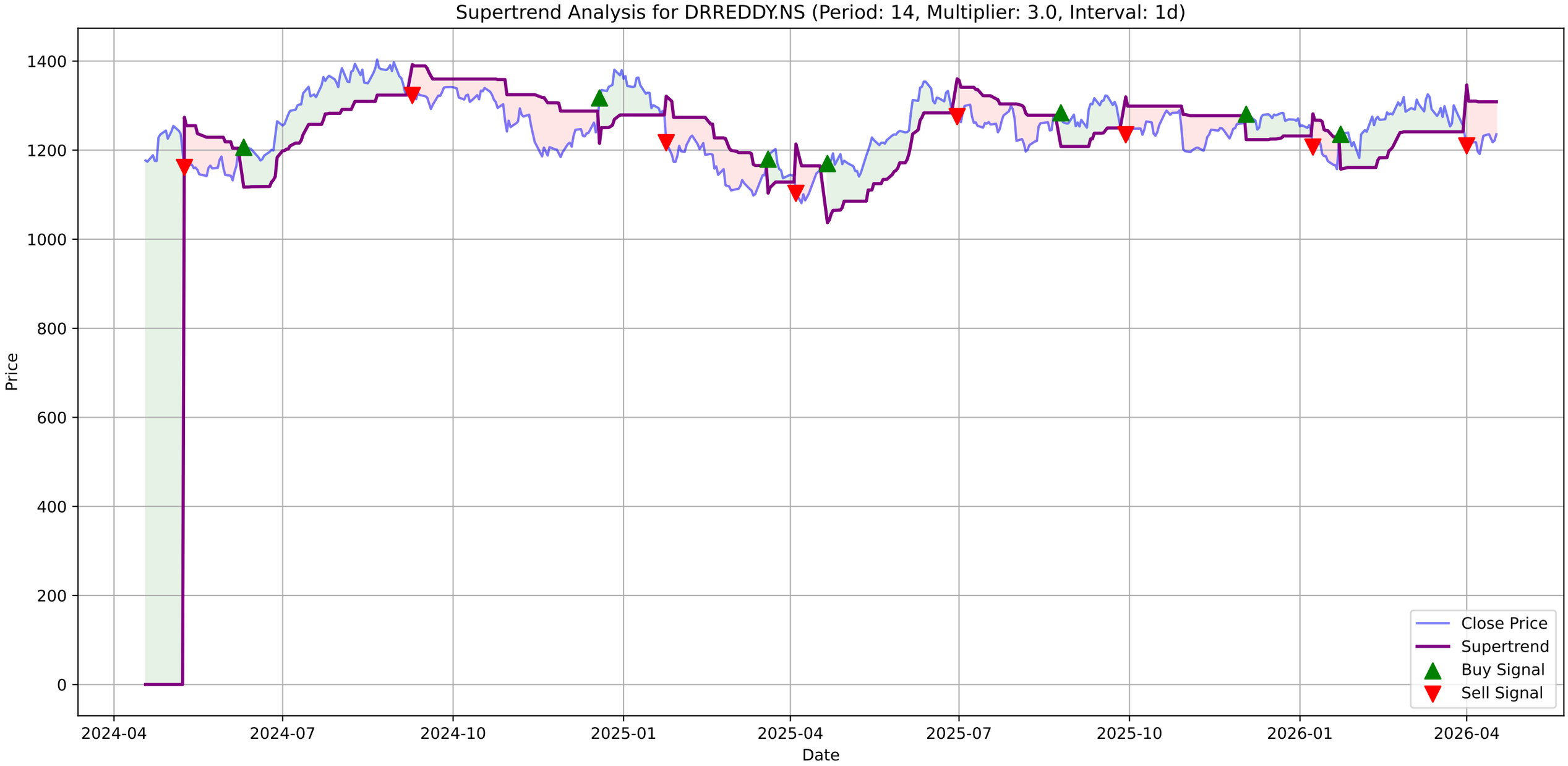
DRREDDY.NS - Bollinger Bands Summary

Current Price:	1235.70
Upper Band:	1314.55
Middle Band (SMA 20):	1244.47
Lower Band:	1174.38
%B:	0.4375
Band Width:	0.1126
Status:	Lower Half
Signal:	None


DRREDDY.NS Bollinger Bands (20, 2) Analysis
Close Price
Upper Band
Lower Band
Middle Band (SMA 20)
Price
1400
1350
1300
1250
1200
1150
1100
1050
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
2026-04
Date

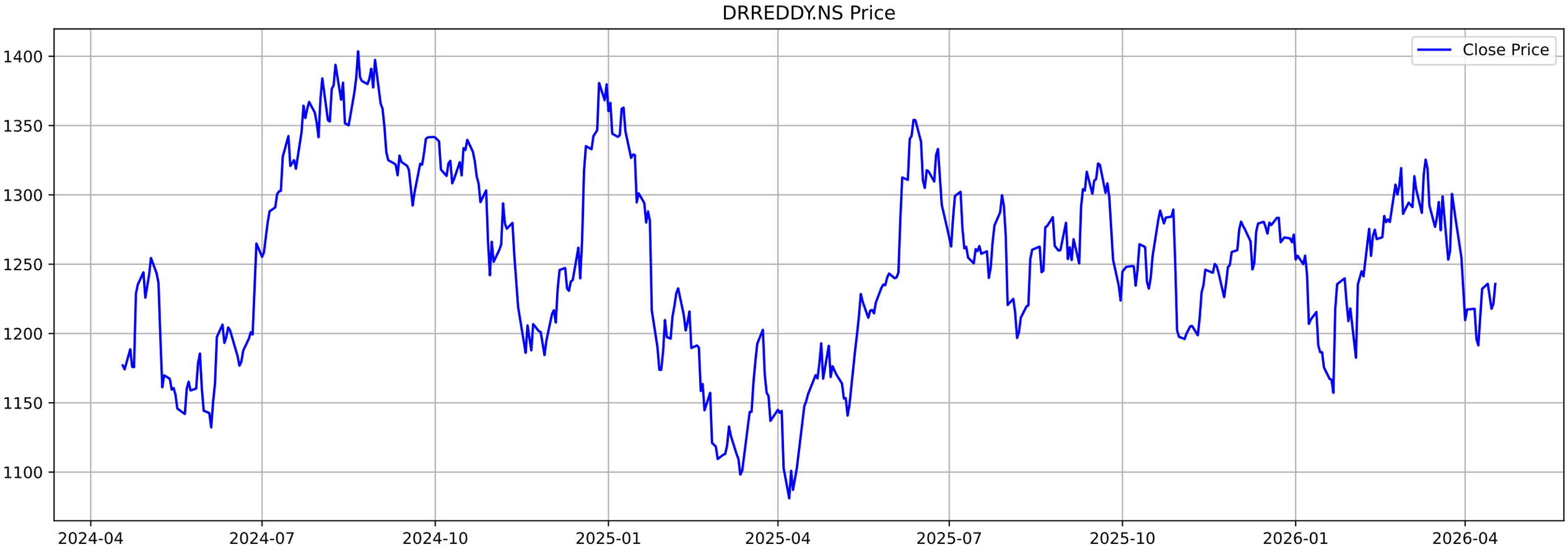
DRREDDY.NS - Supertrend Summary

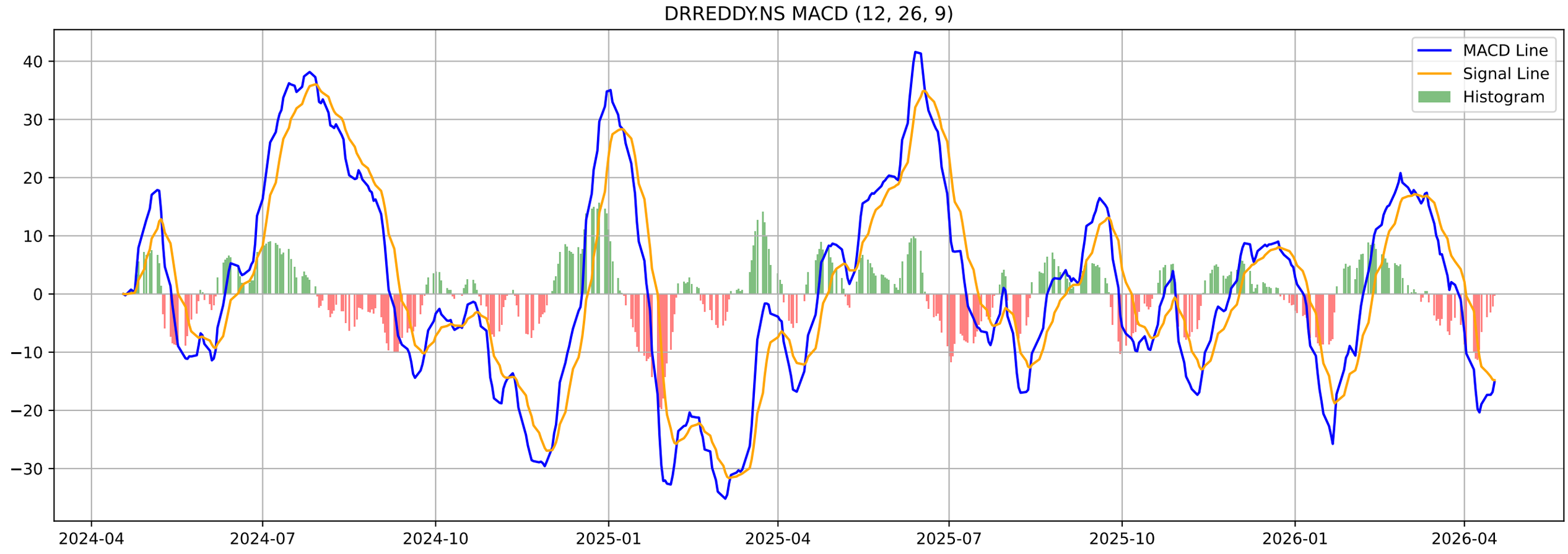
Status:	**DOWNTREND (Sell)**
Supertrend Value:	1308.57
Signal Identified On:	2026-04-01


Supertrend Analysis for DRREDDY.NS (Period: 14, Multiplier: 3.0, Interval: 1d)
Price
Date
1400
1200
1000
800
600
400
200
0
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
2026-04
Close Price
Supertrend
Buy Signal
Sell Signal

DRREDDY.NS - MACD Summary

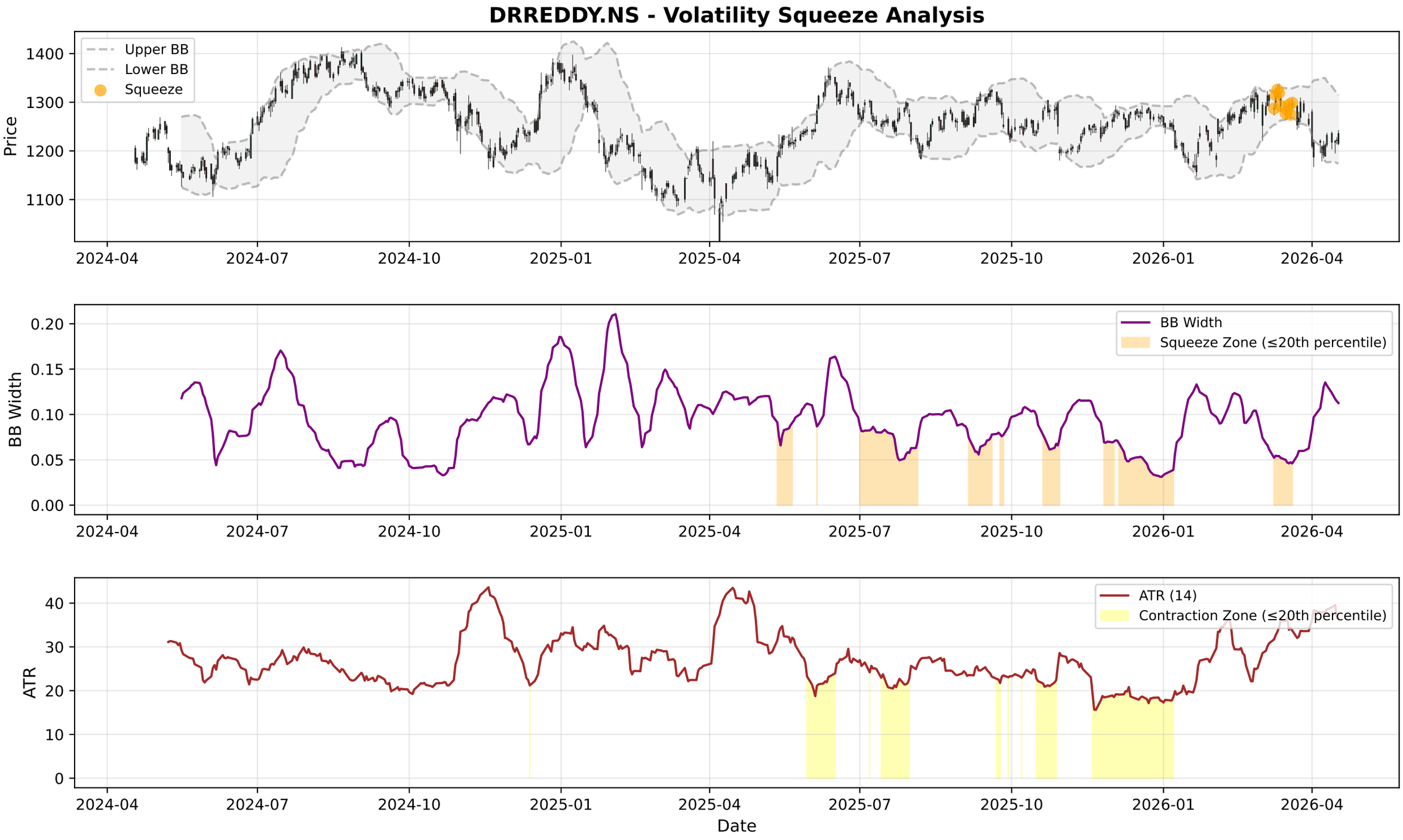
MACD Line:	-15.10
Signal Line:	-14.81
Histogram:	-0.29
Trend:	**Bearish**
Momentum:	**Weakening**
Signal:	None


DRREDDY.NS Price
Close Price
1400
1350
1300
1250
1200
1150
1100
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
2026-04


DRREDDY.NS MACD (12, 26, 9)
MACD Line
Signal Line
Histogram
40
30
20
10
0
−10
−20
−30
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
2026-04

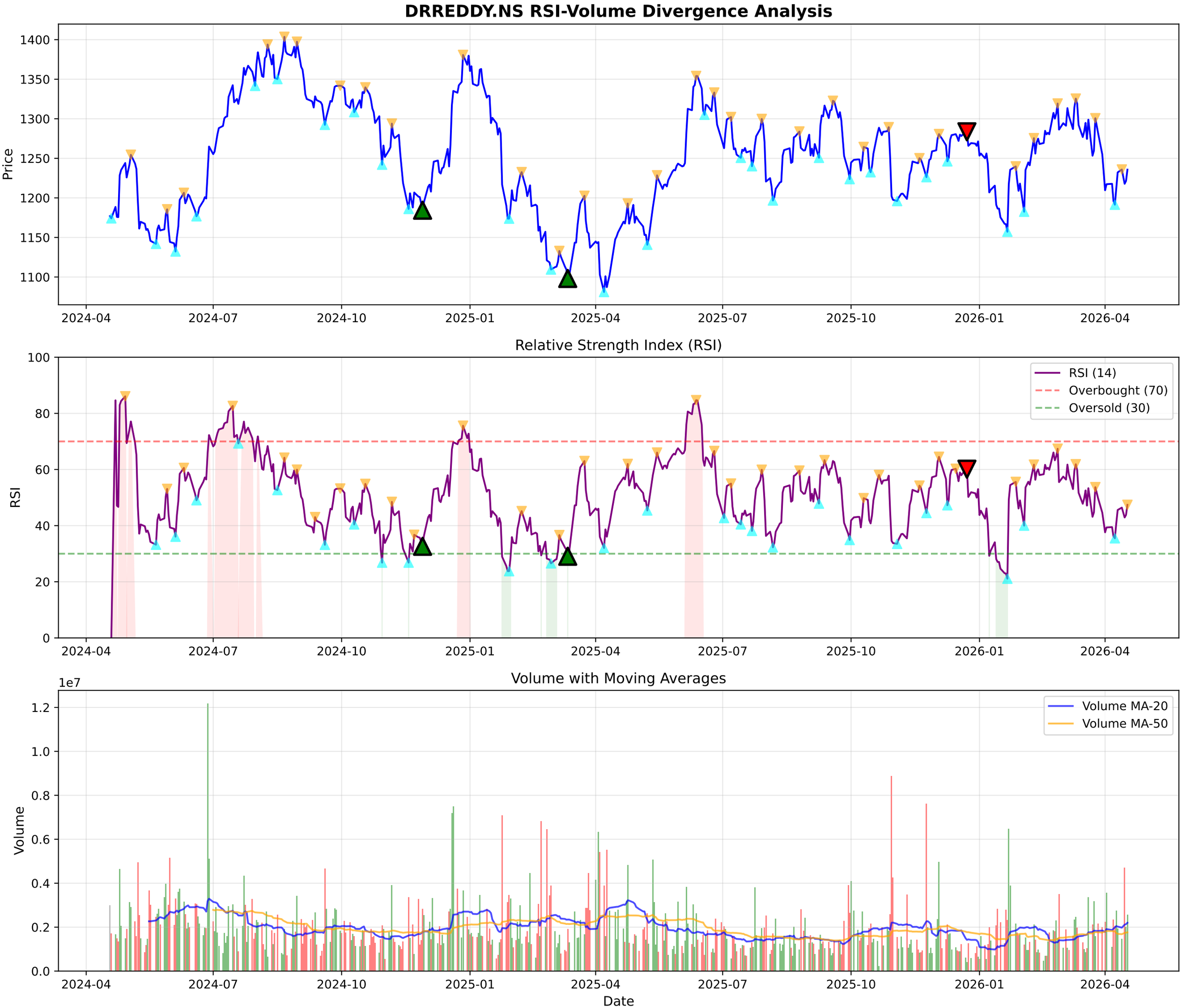
DRREDDY.NS - Volatility Squeeze Summary

BB Width:	0.1126
ATR:	36.5071
Total Signals:	10
Signal 1:	BB Squeeze at 2026-03-16 00:00:00+05:30 (Price: 1276.90)
Signal 2:	BB Squeeze at 2026-03-17 00:00:00+05:30 (Price: 1283.80)
Signal 3:	BB Squeeze at 2026-03-18 00:00:00+05:30 (Price: 1294.80)
Signal 4:	BB Squeeze at 2026-03-19 00:00:00+05:30 (Price: 1274.50)
Signal 5:	BB Squeeze at 2026-03-20 00:00:00+05:30 (Price: 1298.90)


DRREDDY.NS - Volatility Squeeze Analysis
Upper BB
Lower BB
Squeeze
Price
1400
1300
1200
1100
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
2026-04
BB Width
Squeeze Zone (≤20th percentile)
0.20
0.15
0.10
0.05
0.00
ATR (14)
Contraction Zone (≤20th percentile)
ATR
40
30
20
10
0
Date

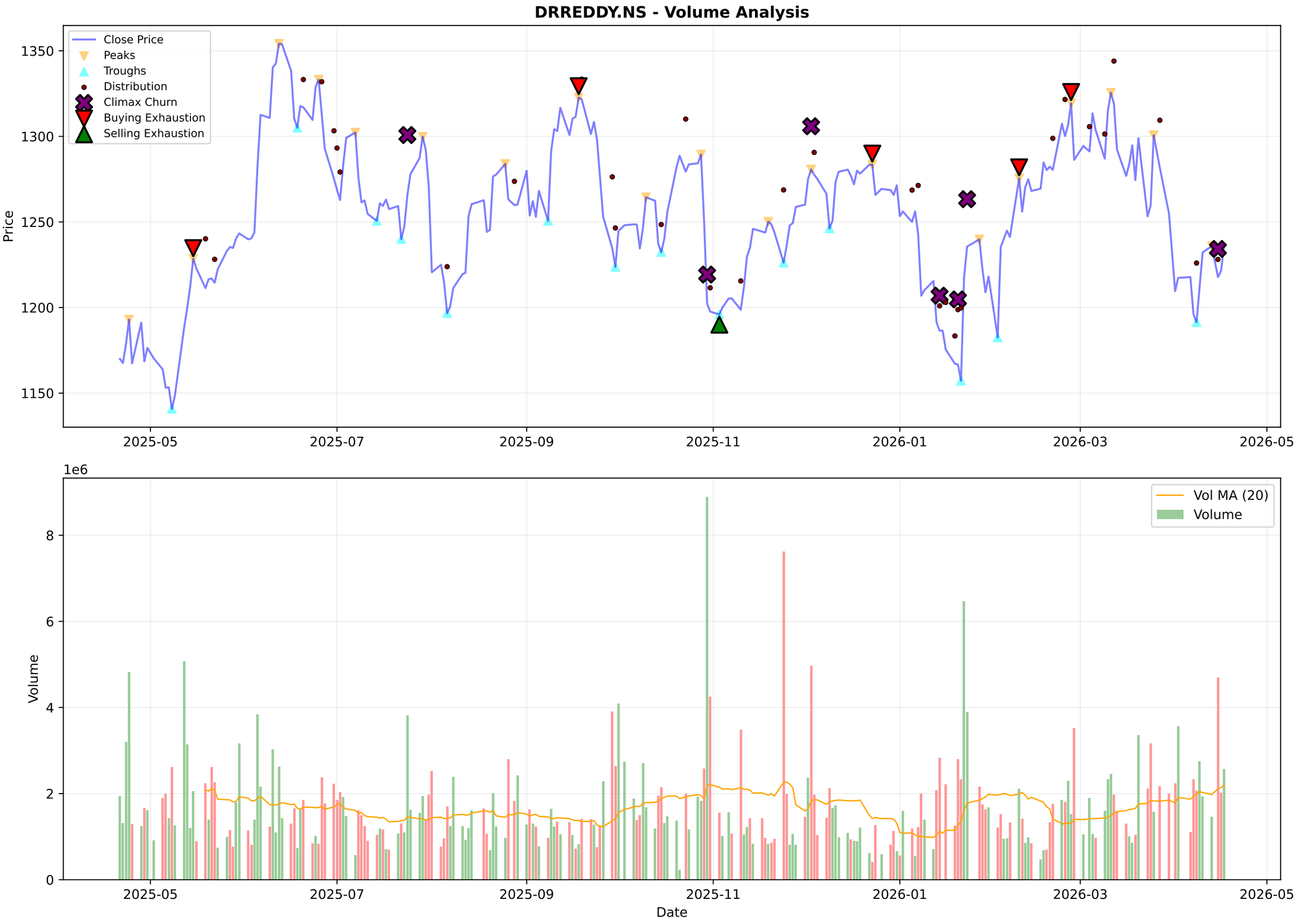
DRREDDY.NS - RSI-Volume Summary

Current RSI:	47.41
Current Volume:	2564061
Volume MA 20:	2198437
Bullish Divergences:	2
Bearish Divergences:	1
Bullish Div 1:	Date: 2024-11-28 00:00:00+05:30, Price: 1184.44
Bullish Div 2:	Date: 2025-03-12 00:00:00+05:30, Price: 1098.19
Bearish Div 1:	Date: 2025-12-23 00:00:00+05:30, Price: 1283.50


DRREDDY.NS RSI-Volume Divergence Analysis
Price
1400
1350
1300
1250
1200
1150
1100
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
2026-04
Relative Strength Index (RSI)
RSI
100
80
60
40
20
0
RSI (14)
Overbought (70)
Oversold (30)
Volume with Moving Averages
1e7
Volume
1.2
1.0
0.8
0.6
0.4
0.2
0.0
Volume MA-20
Volume MA-50
Date

DRREDDY.NS - Volume Analysis

═══ VOLUME ANALYSIS ═══:	
Status:	**46 Signals Detected**
:	
2026-03-12 [-]:	Distribution Day
2026-03-27 [-]:	Distribution Day
2026-04-08 [-]:	Distribution Day
2026-04-15 [-]:	Distribution Day


DRREDDY.NS - Volume Analysis
Close Price
Peaks
Troughs
Distribution
Climax Churn
Buying Exhaustion
Selling Exhaustion
Price
1350
1300
1250
1200
1150
2025-05
2025-07
2025-09
2025-11
2026-01
2026-03
2026-05
1e6
Vol MA (20)
Volume
Volume
8
6
4
2
0
Date

DRREDDY.NS - Candlestick Classification Summary

═══ CANDLESTICK CLASSIFICATION ═══:	
Latest Classification:	**Buyer Control**
Recent Trend Score (10-day avg):	0.60
:	
Distribution:	
No Control:	111
Buyer Control:	62
Seller Control:	52
Seller Strong Control:	3

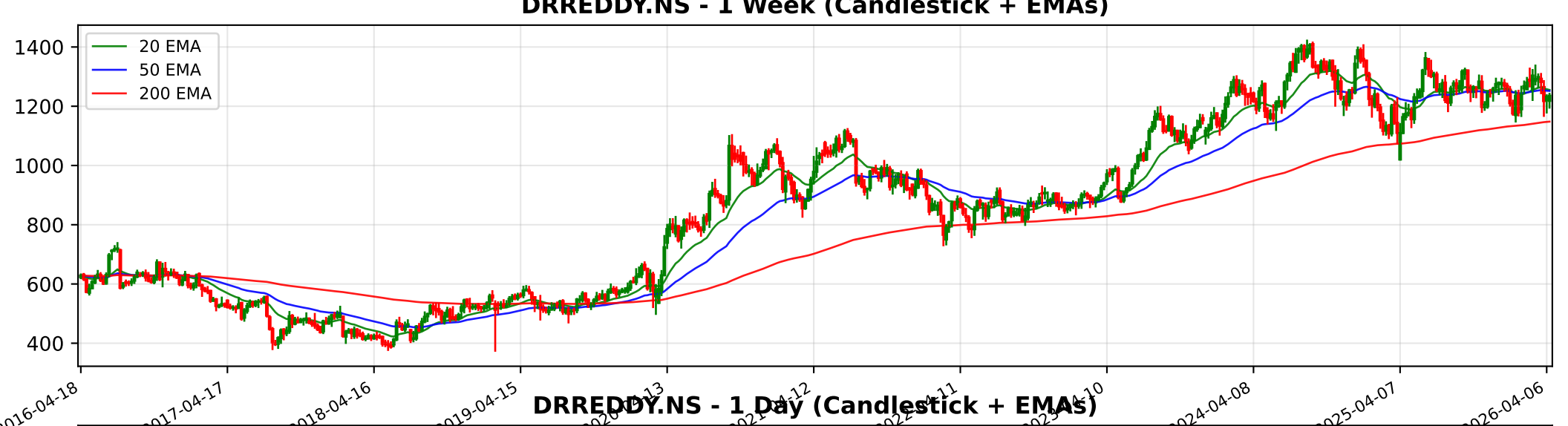
DRREDDY.NS - Candlestick Classification
Seller Strong Control
Seller Control
No Control
Buyer Control
Buyer Strong Control
Price
1325
1300
1275
1250
1225
1200
1175
1150
1e6
Volume
8
6
4
2
0
2025-07-24
2025-08-20
2025-09-16
2025-10-13
2025-11-10
2025-12-04
2025-12-31
2026-01-27
2026-02-20
2026-03-19
Date

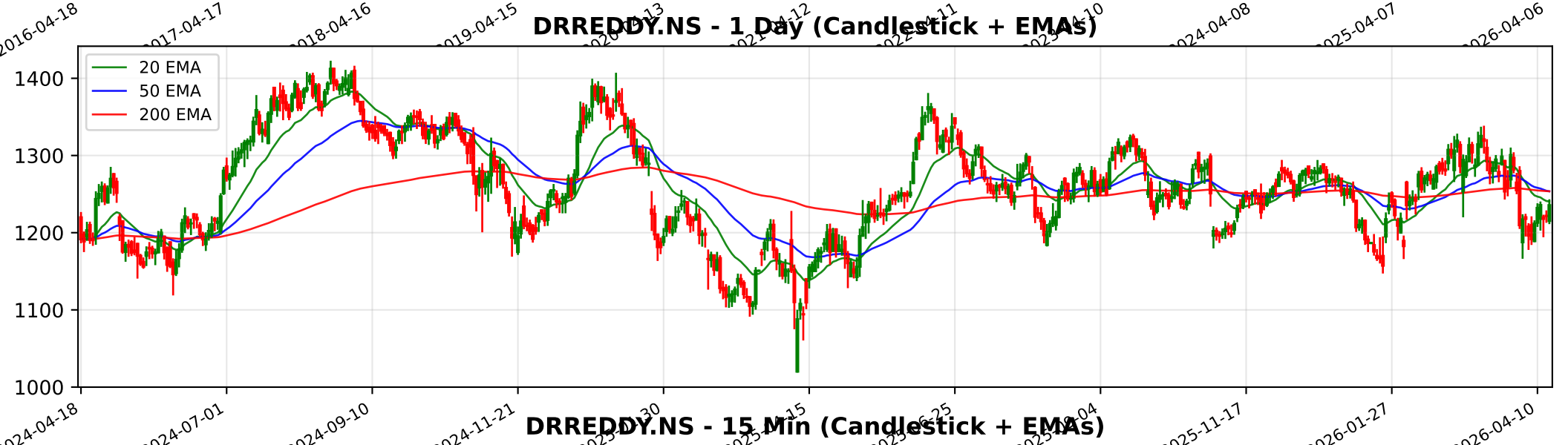
Multi-Timeframe Supertrend Analysis

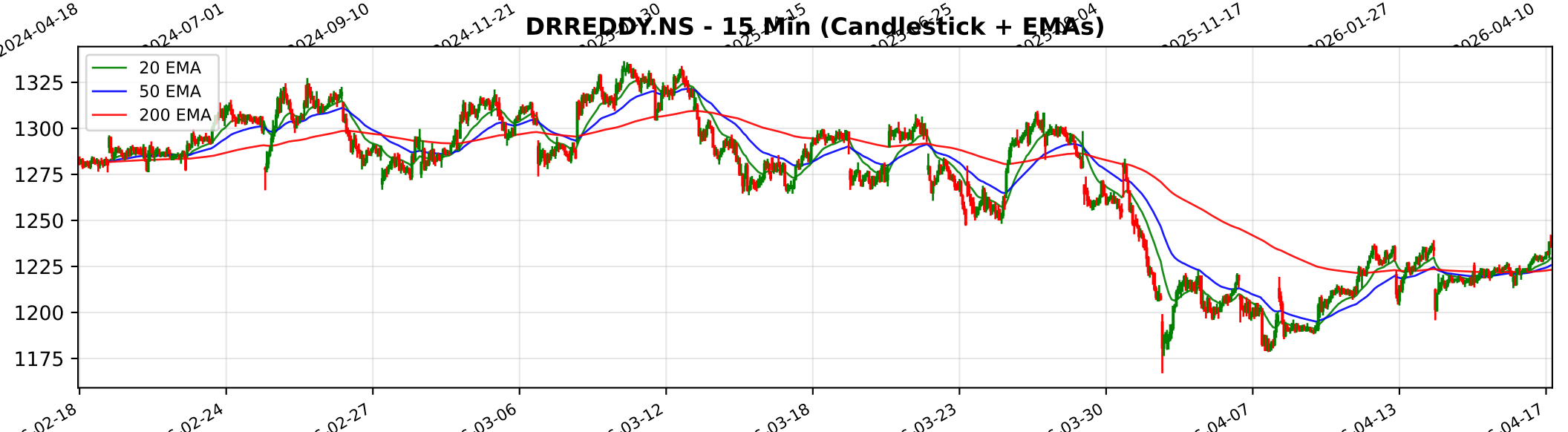
Timeframe	Status	Value	Last Price	Signal Date
1 Week	**UPTREND (Buy)**	1166.11	1235.7	2026-02-23
1 Day	**DOWNTREND (Sell)**	1308.57	1235.7	2026-04-01
15 Min	**UPTREND (Buy)**	1230.59	1235.7	2026-04-17

Multi-Timeframe MACD Analysis

Timeframe	Trend	Momentum	Signal
1 Week	**Bearish**	Strengthening	No Signal
1 Day	**Bearish**	Weakening	No Signal
15 Min	**Bullish**	Strengthening	No Signal


DRREDDY.NS - 1 Week (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
1400
1200
1000
800
600
400
2016-04-18
2017-04-17
2018-04-16
2019-04-15
2024-04-08
2025-04-07
2026-04-06


DRREDDY.NS - 1 Day (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
1400
1300
1200
1100
1000
2024-04-18
2024-07-01
2024-09-10
2024-11-21
2025-11-17
2026-01-27
2026-04-10


DRREDDY.NS - 15 Min (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
1325
1300
1275
1250
1225
1200
1175
02-18
02-24
02-27
03-06
03-12
03-18
03-23
03-30
04-07
04-13
04-17

Trendlyne Snapshot - DRREDDY_main

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MARKETS / SECTOR : PHARMACEUTICALS & BIOTECHNOLOGY / INDUSTRY : PHARMACEUTICALS / DR. REDDY'S LABORATORIES LTD.

Dr. Reddy's Laboratories Ltd.

Ask MarketMind AI v1.5

NSE: DRREDDY | BSE: 500124

Dr. Reddy's Labs Live Share Price Today, Share Analysis and Chart

Mid-range Performer | In 2 Starfolio Baskets

IRAN WAR IMPACT Based on the latest financial disclosures and management commentary from Dr. Reddy's Laboratories Ltd. (DRREDDY) as of March 2026, the impact of the Middle East conflict is categorized as negative but manageable. While the company does not ha... Read More

1235.70 14.30 (1.17%)

2.6M NSE+BSE Volume
NSE 17 Apr, 2026 3:31 PM (IST)

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Durability score	Valuation Score	Momentum Score	Analyst Price Target
50.0 / 100	40.5 / 100	41.8 / 100	1,318
Medium Financial Strength	Mid Valuation	Technically Neutral	1Yr Price target upside is 7%

Mid-range Performer These stocks have average quality, financial and technical momentum, indicating a mid range performer View Similar Embed DVM

FORECASTER

11 S W 8
5 O T 1
SWOT Analysis

Check Before You Buy

VIEW FULL CHECKLIST

High rank 16 Positive • 7 Negative

69.6% Pass in checklist

0 45 55 100

PE Valuation Check

Right Now	1 Year Forward
Undervalued 22.4%	Undervalued 11.8%

INSIGHT Dr. Reddy's Labs is undervalued at both current PE and future earnings estima

DVM
Key Metrics
Price Chart
Forecaster
Financials
Technicals
Shareholding
Deals
Documents
Corporate actions
Company Profile

Dr. Reddy's Labs Key Metrics

Preset Metrics: Preset Metrics

ROE Ann. %	Broker Average Target	Market Capitalization	Price to Book
16.8	1,314.44	103,138.6	2.8

Trendlyne Snapshot - DRREDDY_forecaster

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Dr. Reddy's Laboratories Ltd.

NSE: DRREDDY | BSE: 500124

Mid-range Performer

In 2 Starfolio Baskets

Download real time STOCK REPORT

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Dr. Reddy's Labs - DRREDDY - stock price prediction, stock forecast, target price, analyst ratings from 38 analysts

Dr. Reddy's Labs has a share price target of Rs 1318, revenue growth forecast of 5.6%, and profit growth estimate of -10.2% for FY26, based on top 38 analyst calls.

Dr. Reddy's Labs FORECASTER - Analyst Estimates

FORECASTER DASHBOARD →

SHARE PRICE TARGET FORECAST

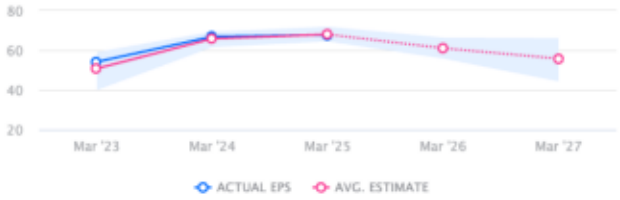
12 MONTH ESTIMATE

in Rs

↑ HIT Dr. Reddy's Labs's share price target is above the current price, with an upside of 6.7%

EPS FORECAST

QUARTER | ANNUAL



in Rs

↑ HIT Dr. Reddy's Labs's EPS was higher than average estimate 2 times in past 3 years

CONSENSUS RECOMMENDATION

38 ANALYST Recommendations

HOLD

The consensus recommendation from 38 analysts for Dr. Reddy's Labs is HOLD